

recommendations, as well as compare and analyse them before making a purchase decision. Existing workflows need multiple interactions with the user. Many platforms have integrated AI-assistants, but their role is limited to support functions like fetching answers for queries, guiding users, etc.

Large language models (LLMs) and the availability of powerful tools have unlocked the possibility of creating agentic systems that can handle complex tasks and workflows without needing human intervention. GenAI and agentic systems have unlocked a revolution in the commerce space in the form of agentic commerce and conversational commerce. These have the potential to simplify the shopping experience for shoppers. And they are also a great help to merchants, who can now standardise the way their inventory is made available across platforms.

Agentic commerce involves agentic systems handling the shopping experience for users. AI agents understand the user intent, make use of tools to detect user preferences, and fetch recommendations. Agentic

systems then compare these, pick the most relevant product, and handle the checkout and shipping instructions. This helps ship the most preferred and relevant products while simplifying the shopping experience for the user.

Conversational commerce takes this experience to the next level by enabling users to converse with the agentic system. They can chat with the agent while giving their inputs in natural language. The conversations can be refined and the inputs adjusted to pass the accurate shopping intent to the agent.

Simplifying the shopping experience

Let's look at the typical shopping experience of a user on traditional commerce platforms. The user logs into the commerce platform and searches for a product based on their needs. The platform gives a list of products, including recommendations and advertised products. The user then applies filters to narrow down to the most suitable product, add it to the cart, and check out from the platform. This is typically a multi-step process.

Conversational commerce simplifies this whole shopping experience. Powered by conversational applications built over LLMs, agentic shopping provides personalised product recommendations and an instant checkout. With applications like ChatGPT supporting conversational commerce, shopping is integrated into the existing consumer AI applications itself. And product discovery by users happens in a natural free-flowing conversational style. The underlying agentic commerce layer picks the products from merchants registered using standard protocols. The agentic layer, with the help of tools, refines and identifies the user intent provided in the conversation, and retrieves the product data relevant for personalisation. It then uses LLM capabilities to compare the products from merchants, giving the user requirements to return the most relevant product recommendations back to the user. Once the user selects a product, the agentic layer makes use of the one-click checkout processes to take care of the payment, invoicing, and shipping workflows.

In short, conversational commerce brings the shopping experience directly to conversational assistants. In the travel and

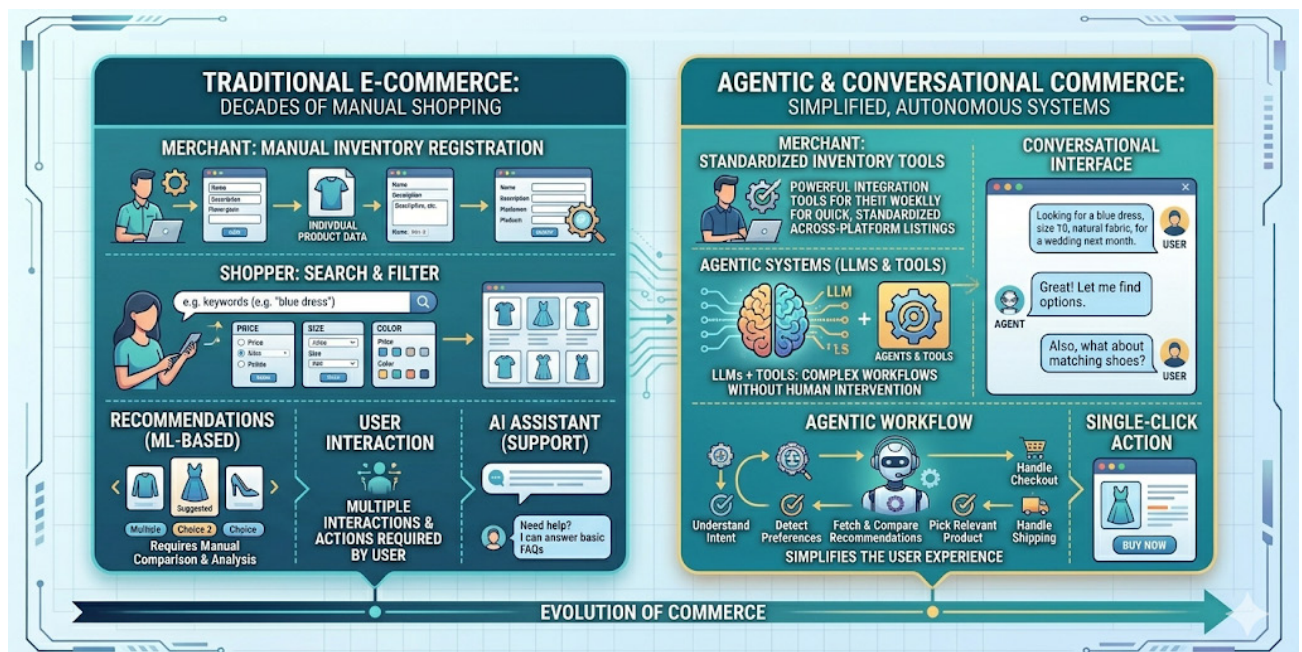


Figure 2: Revolution in commerce: From manual workflows to agentic systems